UPSC EPFO · APFC RECRUITMENT TEST · MODULE 4 · CHAPTER F4.3

Public Finance, the Budget and Taxation

Chapter F4.3 — The Deficits, the Constitutional Machinery, and Three Reforms That Have Made Older Material Wrong

Module	**Foundation Layer — Module 4 — Indian Economy, Population, Development and Globalisation**
Chapter	**Chapter F4.3**
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HIGH YIELD · THREE RECENT REFORMS HAVE MADE THE STANDARD ANSWERS WRONG

Public finance is normally the most stable part of economy: Article 112 has said the same thing since 1950 and the definition of fiscal deficit does not change. **But three things have changed inside the last year, and each has turned a textbook answer into a wrong answer.**

The old answer	The current answer
GST has **four** slabs — 5, 12, 18 and 28	**Two main slabs, 5% and 18%**, plus a 40% de-merit rate, from **22 September 2025**
Income tax is governed by the **Income-tax Act, 1961**	The **Income-tax Act, 2025**, in force from **1 April 2026**
The **Fifteenth** Finance Commission's award is current	The **Sixteenth** Finance Commission has reported, for **2026–31**

Every commercial book and every set of coaching notes printed before late 2025 gets all three wrong. That makes them **exactly the questions an examiner setting a 2026 paper will reach for**, because they separate candidates who have read this year from candidates who have read a book.

§3 and §4 carry all three, with sources. This is the clearest illustration in the manual of why Module 10 exists.

Table of Contents

0. How This Chapter Works

STUDY SESSION · CHAPTER F4.3

1. **Session 1** — The Budget, and its constitutional machinery (§1) ★★★★☆
2. **Session 2** — The deficits (§2) ★★★★★
3. **Session 3** — Taxation and GST (§3) ★★★★★
4. **Session 4** — Fiscal federalism and the FRBM framework (§4) ★★★★☆

Then 22 graded questions in §5. Budget **one evening**, and note that §1 overlaps Module 1's Polity material — the Budget is as much a constitutional procedure as an economic document.

1. Session 1 — The Budget ★★★★☆

1.1 The constitutional provisions

Article	Provision
112	The **Annual Financial Statement** — the Budget's constitutional name — laid before both Houses
110	**Defines a Money Bill.** Introduced **only in the Lok Sabha**, on the President's recommendation
109	The special procedure for Money Bills — the Rajya Sabha has **14 days** and may only recommend
113	**Demands for Grants** — voted by the Lok Sabha alone
114	The **Appropriation Bill** — no money may be withdrawn from the Consolidated Fund except under it
266(1)	**Consolidated Fund of India** — all revenues and loans
266(2)	**Public Account** — money held by government **in trust**: provident funds, small savings
267	**Contingency Fund of India** — at the disposal of the **President**, for **unforeseen** expenditure
148–151	The **Comptroller and Auditor General**, who audits and reports to Parliament
280	The **Finance Commission**
279A	The **GST Council**

MUST MASTER · THE THREE FUNDS, AND WHY THE PUBLIC ACCOUNT MATTERS TO THIS POST

Fund	What goes in	Withdrawal
Consolidated Fund (266(1))	All revenues, loans raised, recoveries	Only by **parliamentary appropriation**
Public Account (266(2))	Money the government holds **in trust — provident funds**, small savings, deposits	**No appropriation needed** — it is not the government's money
Contingency Fund (267)	A standing sum at the **President's** disposal	For **unforeseen** expenditure, **Parliament authorising it afterwards**

Note the second row. Provident fund balances sit in the **Public Account**, not the Consolidated Fund, precisely because they are **held in trust for the subscriber** rather than owned by the State — which is the same principle F7.1 and Module 3 apply to the EPF corpus. **An Assistant Provident Fund Commissioner administers money of exactly this character**, and the constitutional reason no appropriation is needed to pay it out is that it was never public revenue.

That connection is worth holding for the interview as well as the paper.

And note the Contingency Fund's sequence: the President spends first and **Parliament authorises afterwards**. An option requiring prior parliamentary approval reverses it, which is the whole point of an emergency fund.

1.2 Receipts and expenditure

	Revenue	Capital
Receipts	**Tax revenue** and **non-tax revenue** (interest, dividends, fees)	**Borrowings**, **recoveries of loans**, **disinvestment proceeds**
Expenditure	Recurring — salaries, interest, subsidies, pensions	Creates or reduces assets or liabilities — infrastructure, loans given

The test for a capital receipt: does it either **create a liability** or **reduce an asset**? Borrowing creates a liability; disinvestment and loan recoveries reduce assets. Tax revenue does neither, so it is a revenue receipt.

1.3 Parliamentary control

Device	What it is
Vote on Account	Advance grant to meet expenditure until the Appropriation Bill passes
Cut motions	Policy cut (reduce to ₹1), economy cut (a specified reduction), token cut (₹100 — to air a grievance)
Guillotine	Undiscussed demands put to the vote together when time expires
Supplementary, excess grants	Additional provision during, or after, the year
PAC and Estimates Committee	Scrutiny after the fact; the **PAC is chaired by a member of the Opposition** by convention

The Budget is presented on **1 February**, and the **Economic Survey the day before** — F4.1 §2.4 records that the Survey comes from the Chief Economic Adviser's department, not from NITI Aayog.

CHECK YOURSELF · SESSION 1

1. Give the Article for the Annual Financial Statement, the Money Bill definition, and the Appropriation Bill
2. Name the three funds and how money leaves each
3. Why do provident fund balances sit in the Public Account?
4. Give the test for a capital receipt, and three examples
5. What are the three kinds of cut motion?

2. Session 2 — The Deficits ★★★★★

2.1 The four definitions

MUST MASTER · THE FOUR DEFICITS, AND THE ONE PHRASE THAT DECIDES THE FISCAL DEFICIT

Deficit	Definition
Revenue deficit	**Revenue expenditure - revenue receipts**
Fiscal deficit	**Total expenditure - total receipts EXCLUDING BORROWINGS**
Primary deficit	**Fiscal deficit - interest payments**
Effective revenue deficit	**Revenue deficit - grants for the creation of capital assets**

The phrase "excluding borrowings" is the entire question. Total expenditure minus total receipts *including* borrowings is zero by construction — the accounts balance. The fiscal deficit is meaningful only because borrowing is excluded from receipts, which makes **the fiscal deficit equal to the government's total borrowing requirement for the year.** An option omitting "excluding borrowings" is the standard wrong answer and it is wrong for a reason worth understanding rather than memorising.

What each one tells you:

- **Revenue deficit** — the government is borrowing to meet **consumption**. Regarded as the worst kind,

because nothing is left behind

- **Primary deficit** — strips out interest on **past** borrowing, so it isolates **this year's** fiscal

stance. A zero primary deficit with a large fiscal deficit means the whole deficit is the inherited interest burden

- **Effective revenue deficit** — recognises that a grant a State spends on building a road creates an

asset, even though it is revenue expenditure for the Centre

The ordering follows: primary deficit < fiscal deficit, always, since interest payments are positive.

2.2 The current numbers

KNOW · THE UNION BUDGET 2026-27 [AS AT 16 AUG 2026] · RE-VERIFY BEFORE THE PAPER

Item	Reading
Fiscal deficit, 2026-27 (BE)	**4.3% of GDP**
Fiscal deficit, 2025-26 (RE)	**4.4% of GDP**
Total expenditure	about **₹53.5 lakh crore**
Capital expenditure	about **₹12.2 lakh crore**, up about 9%
Effective capital expenditure	about **4.4% of GDP**
Presented by	**Nirmala Sitharaman**, Union Finance Minister

Sources: PRS Union Budget 2026-27 Analysis · EY Budget highlights · ORF on spending priorities

The durable point behind the numbers: the deficit is on a **declining glide path**, and **capital expenditure has been protected while the deficit falls** — which is the stated strategy of consolidating without cutting investment. *Content rephrased from the sources for compliance with licensing restrictions.*

CHECK YOURSELF · SESSION 2

1. Write the four deficit definitions
2. Why must borrowings be excluded for the fiscal deficit to mean anything?
3. What does a zero primary deficit with a large fiscal deficit tell you?
4. Give the fiscal deficit target for 2026-27

3. Session 3 — Taxation and GST ★★★★★

3.1 The classifications

Distinction	
Direct tax	Incidence **cannot be shifted** — income tax, **corporation tax**, capital gains
Indirect tax	Incidence **can be shifted** to the consumer — **GST**, customs duty, excise
Progressive	Rate **rises** with income — income tax
Proportional	Rate constant
Regressive	Takes a **larger share of a poor person's income** — indirect taxes generally are
Ad valorem / specific	On value / per unit
Tax buoyancy	Responsiveness of tax revenue to **GDP growth**
Laffer curve	Beyond some rate, **higher rates reduce total revenue**

MUST MASTER · CESS AND SURCHARGE, AND WHY STATES OBJECT TO BOTH

	Cess	Surcharge
Purpose	**Earmarked for a specified purpose**	**No earmarking** — general revenue
Where it goes	Consolidated Fund, but for the stated purpose	Consolidated Fund
Shared with States?	**NO**	**NO**

Neither a cess nor a surcharge forms part of the divisible pool. That single fact is the reason States complain about them: revenue raised as a cess or surcharge is **not shared under the Finance Commission's formula**, so a shift from basic rates towards cesses reduces States' share of central taxes without any change in the headline devolution percentage.

The distinction *between* them is that a **cess is earmarked and a surcharge is not** — a health and education cess must be spent on health and education, a surcharge on high incomes need not be spent on anything in particular. Q16 tests the "not in the divisible pool" point, which is the one most often got wrong.

3.2 GST, and the 2025 restructuring

GST was introduced by the 101st Constitutional Amendment Act, 2016, with effect from 1 July 2017. It is a **destination-based** tax on value added, subsuming excise, service tax, VAT, CST, octroi and entry tax.

Component	Levied by
CGST	Centre, on intra-State supply
SGST / UTGST	State or Union Territory, on intra-State supply
IGST	Centre, on **inter-State** supply, and apportioned

HIGH YIELD · GST NOW HAS TWO MAIN SLABS, NOT FOUR [AS AT 16 AUG 2026]

The **56th meeting of the GST Council, held on 3 September 2025**, restructured the rate schedule, and the new rates took effect on **22 September 2025**.

Before	After
Four slabs: **5%, 12%, 18%, 28%**	**Two main slabs: 5% (merit) and 18% (standard)** — the **12% and 28% slabs were removed**
—	A **special de-merit rate of 40%** for sin and ultra-luxury goods, including tobacco and high-end vehicles

Sources: The Hindu on the new rates · PRS Monthly Policy Review, September 2025 · SBI Research note on GST 2.0

This is the single most likely economy question on a 2026 paper, because it is recent, definite, and makes the memorised four-slab answer wrong. *Content rephrased from the sources for compliance with licensing restrictions.*

What remains outside GST, and is therefore still taxed by the older levies:

- **Alcoholic liquor for human consumption** — constitutionally excluded
- **Petroleum crude, high-speed diesel, petrol, natural gas and aviation turbine fuel** — within GST's

ambit in principle but **not yet notified**, so still under excise and VAT

- Electricity duty and stamp duty

3.3 The new income tax statute

HIGH YIELD · THE INCOME-TAX ACT, 2025 REPLACED THE 1961 ACT ON 1 APRIL 2026 [AS AT 16 AUG 2026]

The **Income-tax Act, 2025** came into force on **1 April 2026**, and the **Income-tax Act, 1961 stands repealed** from that date, subject to transitional provisions preserving pending proceedings.

The new Act is a **restructuring and simplification rather than a change of tax policy** — it consolidates and re-drafts, reducing the accumulated provisos and explanations of six decades, while **leaving rates and slabs unchanged**. It runs to about **536 sections in 23 chapters**.

Its passage: the Income-Tax Bill, 2025 was introduced in February 2025, withdrawn, and replaced by the **Income-Tax (No.2) Bill, 2025**, introduced on 11 August 2025.

Sources: Income Tax Department press release · Income Tax Department FAQ on the new Act · PRS on the Income-Tax (No.2) Bill, 2025

The examinable points are the **year of the new Act (2025)**, the **date it took effect (1 April 2026)**, the Act it **replaced (1961)**, and the fact that **rates were not changed**. A question asserting that the new Act altered the slabs is wrong. *Content rephrased from the sources for compliance with licensing restrictions.*

CHECK YOURSELF · SESSION 3

1. Distinguish direct from indirect by the test of incidence
2. Give two differences between a cess and a surcharge, and the one thing they share
3. Give the Amendment Act, the effective date and the three components of GST
4. State the GST rate structure now, and what it replaced
5. Name four categories outside GST
6. Which Act now governs income tax, from what date, and did rates change?

4. Session 4 — Fiscal Federalism and the FRBM ★★★★☆

4.1 The Finance Commission

Feature	
Constituted under	**Article 280**, by the **President**, normally every **five years**
Composition	A Chairman and four other members
Function	Recommends the **distribution of the net proceeds of taxes** between Centre and States, and among States; grants-in-aid; and any other matter referred
Status of recommendations	**Advisory** — not binding, though conventionally accepted

HIGH YIELD · THE SIXTEENTH FINANCE COMMISSION [AS AT 16 AUG 2026]

Feature	Reading
Chairman	**Arvind Panagariya**
Award period	**2026–31**
Report submitted	to **President Droupadi Murmu**, November 2025; laid before Parliament with the 2026-27 Budget
States' share of the divisible pool	**41% — unchanged from the Fifteenth Commission**
Notable recommendations	**Ending revenue deficit grants**; introducing a State's **contribution to GDP** as a devolution criterion; **performance-linked** local body grants
Finance Commission grants provided	about **₹1.4 lakh crore** for the coming year

Sources: PRS summary of the 16th FC report · Economic Times on the 41% share · Policy Circle on the GDP criterion

Note the number that trips people: the **Fourteenth** Commission raised the share to **42%**; the **Fifteenth** set it at **41%** (the reduction reflecting the reorganisation of Jammu and Kashmir into Union Territories); and the **Sixteenth has retained 41%**. So **42% is the superseded figure** and is the standard wrong option. *Content rephrased from the sources for compliance with licensing restrictions.*

4.2 The GST Council

Feature	
Article	**279A**
Chair	The **Union Finance Minister**
Members	Union Minister of State for Finance, and a minister nominated by **each State**
Voting	Decisions need a **three-fourths majority of the weighted votes** of members present and voting
Weights	**Centre one-third**, **all States together two-thirds**
Quorum	**One-half** of the total members

The arithmetic of that design is examinable: since the Centre holds a third and a decision needs three quarters, **neither the Centre alone nor the States alone can carry a motion** — the Centre's third is enough to block, and the States' two-thirds is short of three-quarters. It is a deliberate mutual veto.

4.3 The FRBM framework

Feature	
Act	**Fiscal Responsibility and Budget Management Act, 2003** (effective 2004)
Objective	Fiscal discipline, reduction of deficits, long-term macroeconomic stability
Statements laid with the Budget	Medium-term Fiscal Policy Statement; Fiscal Policy Strategy Statement; Macroeconomic Framework Statement
Escape clause	Permits deviation from targets in specified circumstances — national security, calamity, structural reform, a sharp output collapse
Review committee	The **N K Singh Committee** (2017) recommended a **debt-to-GDP anchor** rather than a pure deficit target

TRAP · THE COMMISSION IS ADVISORY; THE COUNCIL IS NOT MERELY ADVISORY

Two bodies, two different constitutional weights, and the examiner sets them against each other.

- The **Finance Commission** (Article 280) makes **recommendations** to the President. They are

advisory. Convention is to accept them, but there is no obligation

- The **GST Council** (Article 279A) makes **recommendations** too, but it is the constitutional forum

through which the entire GST rate structure is actually decided, and it operates by a **voting rule with a built-in mutual veto**

And neither is NITI Aayog, which F4.1 §4.2 records as **allocating nothing**. Three bodies, three functions: **NITI advises on policy, the Finance Commission on devolution, the GST Council on indirect tax rates.** Attribution questions in this module are usually about keeping those three apart.

CHECK YOURSELF · SESSION 4

1. Under which Article is the Finance Commission constituted, and are its recommendations binding?
2. Name the Sixteenth Commission's chairman, award period and devolution share
3. What were the 14th and 15th Commissions' shares, and why did the figure fall?
4. Give the GST Council's voting rule and the weights, and explain the mutual veto
5. Name the FRBM Act's year and the committee that proposed a debt anchor

5. Graded Practice — 22 Questions ★★★★★

Target: 25 to 35 seconds each.

5.1 Level 1 — Machinery and definitions

Q1. The Annual Financial Statement is laid before Parliament under (a) Article 110 (b) Article 112 (c) Article 266 (d) Article 280

Q2. The fiscal deficit is defined as (a) revenue expenditure less revenue receipts (b) fiscal deficit less interest payments (c) total expenditure less total receipts (d) total expenditure less total receipts excluding borrowings

Q3. The primary deficit is the fiscal deficit less (a) interest payments (b) the revenue deficit (c) grants for the creation of capital assets (d) subsidies

Q4. The revenue deficit is the excess of (a) capital expenditure over capital receipts (b) total expenditure over total receipts (c) revenue expenditure over revenue receipts (d) borrowings over repayments

Q5. Which one of the following is a **capital** receipt of the Union Government? (a) Income tax collections (b) Recoveries of loans (c) Interest receipts (d) Dividends from public undertakings

Q6. The Goods and Services Tax was introduced in India with effect from (a) 1 April 2016 (b) 1 April 2017 (c) 1 January 2018 (d) 1 July 2017

Q7. The GST Council is established under (a) Article 279A (b) Article 280 (c) Article 246A (d) Article 265

Q8. Which one of the following is a **direct** tax? (a) Goods and Services Tax (b) Customs duty (c) Corporation tax (d) Central excise duty

5.2 Level 2 — The current position

Q9. Following the restructuring that took effect in September 2025, GST has two principal slabs of (a) 5% and 12% (b) 5% and 18% (c) 12% and 18% (d) 18% and 28%

Q10. Under that restructuring, a special de-merit rate applies to sin and ultra-luxury goods at (a) 28% (b) 30% (c) 35% (d) 40%

Q11. With effect from 1 April 2026, the Income-tax Act, 1961 has been replaced by (a) the Income-tax Act, 2025 (b) the Direct Taxes Code, 2024 (c) the Taxation Laws (Amendment) Act, 2025 (d) the Finance Act, 2026

Q12. The Sixteenth Finance Commission was chaired by (a) N K Singh (b) Y V Reddy (c) Arvind Panagariya (d) Vijay Kelkar

Q13. The Sixteenth Finance Commission recommended that the States' share in the divisible pool of central taxes be fixed at (a) 32% (b) 41% (c) 42% (d) 50%

Q14. The Finance Commission is constituted under (a) Article 112 (b) Article 266 (c) Article 279A (d) Article 280

Q15. A decision of the GST Council requires the assent of (a) three-fourths of the weighted votes of the members present and voting (b) two-thirds of the members present and voting (c) a simple majority of members present and voting (d) all members unanimously

Q16. Which one of the following statements is **not** correct? (a) A cess is levied for a specified purpose (b) The proceeds of a surcharge are not shared with the States (c) The proceeds of a cess form part of the divisible pool of central taxes (d) Alcoholic liquor for human consumption remains outside the ambit of GST

5.3 Level 3 — Recruitment Test standard

Q17. A Money Bill is defined in (a) Article 107 (b) Article 109 (c) Article 112 (d) Article 110

Q18. Expenditure from the Contingency Fund of India is incurred (a) only with the prior approval of Parliament (b) by the President to meet unforeseen expenditure, and is subsequently authorised by Parliament (c) by the Finance Minister without any limit (d) only during the operation of a Financial Emergency

Q19. The Fiscal Responsibility and Budget Management Act was enacted in (a) 1991 (b) 2000 (c) 2003 (d) 2016

Q20. The fiscal deficit target for 2026-27 in the Union Budget was (a) 5.1% of GDP (b) 4.9% of GDP (c) 4.4% of GDP (d) 4.3% of GDP

Q21. The effective revenue deficit is the revenue deficit less (a) interest payments (b) grants given for the creation of capital assets (c) subsidies (d) defence expenditure

Q22. Which one of the following is **constitutionally** excluded from the ambit of the Goods and Services Tax? (a) Alcoholic liquor for human consumption (b) Tobacco products (c) Cement (d) Motor cars

6. Answers and Explanations

6.1 Level 1

Q	Ans	Explanation
1	b	**Article 112.** (a) defines a Money Bill, (c) creates the Consolidated Fund and Public Account, (d) the Finance Commission — four Articles from the same chapter, offered against one another
2	d	**Total expenditure less total receipts EXCLUDING borrowings.** (c) is the same sentence with the crucial phrase removed, and it equals zero by construction. §2.1
3	a	**Interest payments.** The primary deficit strips out the cost of *past* borrowing to isolate the current year's stance
4	c	**Revenue expenditure over revenue receipts**
5	b	**Recoveries of loans** reduce an asset, so they are a capital receipt. (a), (c) and (d) are all revenue receipts — tax and non-tax. Apply the test: does it create a liability or reduce an asset?
6	d	**1 July 2017.** The **101st Amendment Act is 2016**, which is why (a) and (b) are offered — the amendment year and the commencement date are different, and both get asked
7	a	**Article 279A.** (c) Article 246A is the enabling provision giving Centre and States concurrent power to levy GST — a real and closely related Article, which makes it the best distractor
8	c	**Corporation tax** — its incidence cannot be shifted. The other three are indirect

6.2 Level 2

Q	Ans	Explanation
9	b	**5% and 18%**, the 12% and 28% slabs having been removed with effect from 22 September 2025 following the 56th GST Council meeting. (d) is the pre-reform pairing — §3.2
10	d	**40%**, the special de-merit rate for sin and ultra-luxury goods. (a) 28% is the slab it replaced for those goods
11	a	**The Income-tax Act, 2025**, in force from 1 April 2026, the 1961 Act standing repealed subject to transitional provisions. (b) is the long-discussed Direct Taxes Code that was never enacted — a well-designed distractor
12	c	**Arvind Panagariya.** (a) N K Singh chaired the **Fifteenth** Commission and also the FRBM review committee, which is why he is the most tempting wrong answer
13	b	**41%**, unchanged from the Fifteenth Commission. (c) **42% is the Fourteenth Commission's figure** — the superseded number, and the commonest error
14	d	**Article 280**
15	a	**Three-fourths of the weighted votes**, with the Centre holding one-third and the States two-thirds — a design in which neither side can act alone
16	c	**The "not correct" item. Neither a cess nor a surcharge forms part of the divisible pool**, which is precisely why States object to them. (a), (b) and (d) are all correct — §3.1

6.3 Level 3

Q	Ans	Explanation
17	d	**Article 110** defines a Money Bill. (b) Article 109 lays down the *procedure* — the distinction between the definition and the procedure is the point of the question
18	b	The **President** authorises it for **unforeseen** expenditure and **Parliament regularises it afterwards**. (a) reverses the sequence, which would defeat the fund's purpose
19	c	**2003**, effective 2004. (d) 2016 is the year of inflation targeting and of the GST amendment — a plausible year attached to the wrong statute
20	d	**4.3% of GDP** for 2026-27 (BE), against 4.4% in 2025-26 (RE). Note (c) is the previous year's figure, so the question turns on reading **which year** — a dated figure, **re-verify**
21	b	**Grants for the creation of capital assets.** The concept exists because such a grant is revenue expenditure for the Centre but finances an asset in the recipient's hands
22	a	**Alcoholic liquor for human consumption** is excluded **by the Constitution itself**. Petroleum products are within GST's ambit in principle but not yet notified — a different kind of exclusion, and the reason the stem says *constitutionally*

THINK LIKE UPSC · THE FOUR SHAPES IN THIS BANK

1. **The superseded number.** Q9 (four slabs » two), Q13 (42% » 41%), Q11 (1961 » 2025). **Three of twenty-two questions** turn on a change inside the last year, and in each case the wrong option is what a book printed in 2024 says. This is the pattern that makes Module 10 worth its twelve hours
2. **The neighbouring Article.** Q1, Q7, Q14, Q17. Article 110 against 109, 279A against 246A, 280 against
    1. Learn Articles in **clusters by function** — the Budget cluster is 110, 112, 113, 114; the funds are 266 and 267; the fiscal bodies are 279A and 280
3. **The missing qualifying phrase.** Q2. *Total expenditure less total receipts* and *total expenditure less total receipts excluding borrowings* differ by three words and by the whole meaning. Where two options are the same sentence at different lengths, **the longer one is usually right**, because the qualification is what makes a definition precise
4. **Two kinds of exclusion.** Q22. Liquor is outside GST *constitutionally*; petroleum is outside it *administratively*, pending notification. The stem's adverb chooses between them, which is F8.3 §4's lesson applied to a factual paper

7. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F4.3

ARTICLES 112 Annual Financial Statement · **110 defines a Money Bill** (Lok Sabha only, President's recommendation) · 109 Money Bill **procedure**, Rajya Sabha **14 days**, may only recommend · 113 Demands for Grants · **114 Appropriation Bill** · **266(1) Consolidated Fund · 266(2) Public Account · 267 Contingency Fund** · 148–151 **CAG** · **279A GST Council** · **280 Finance Commission** · 246A the power to levy GST

THE THREE FUNDS Consolidated » only by **appropriation** · **Public Account » money held IN TRUST, provident funds and small savings, NO appropriation needed** · **Contingency » President spends first, Parliament authorises AFTERWARDS**

RECEIPTS capital receipt test: **creates a liability or reduces an asset** » borrowings, **recoveries of loans**, disinvestment · tax and non-tax are **revenue** receipts

CONTROL Vote on Account · cut motions: **policy (₹1), economy (specified), token (₹100)** · guillotine · **PAC chaired by the Opposition** by convention · Budget **1 February**, Economic Survey the day before

THE FOUR DEFICITS revenue = revenue expenditure - revenue receipts · **fiscal = total expenditure - total receipts EXCLUDING BORROWINGS** = the year's **total borrowing requirement** · **primary = fiscal - interest payments** · effective revenue = revenue deficit - **grants for capital assets** · **primary is always LESS than fiscal**

BUDGET NUMBERS [AS AT 16 AUG 2026] **FD 4.3% of GDP (2026-27 BE)** vs **4.4% (2025-26 RE)** · total expenditure about **₹53.5 lakh crore** · **capex about ₹12.2 lakh crore**, up 9% · presented by **Nirmala Sitharaman**

TAXES direct = incidence **cannot** be shifted (income, **corporation**, capital gains) · indirect = can be shifted (**GST**, customs, excise) · indirect taxes are generally **regressive** · **buoyancy** = response to GDP growth · **Laffer** = beyond a point higher rates cut revenue

CESS vs SURCHARGE cess is **earmarked**, surcharge is not · **NEITHER is in the divisible pool** — which is why States object

GST 101st Amendment Act 2016, effective **1 July 2017** · **destination-based** · **CGST + SGST / UTGST** intra-State, **IGST** inter-State · **NOW TWO MAIN SLABS 5% AND 18%** from **22 Sept 2025** (56th Council meeting, 3 Sept 2025), **12% and 28% REMOVED**, plus a **40% de-merit rate** · **outside GST: alcoholic liquor (constitutionally); petrol, diesel, crude, ATF, natural gas (not yet notified); electricity duty; stamp duty**

INCOME TAX Income-tax Act 2025 in force 1 April 2026, repealing the **1961** Act · about **536 sections, 23 chapters** · **rates and slabs UNCHANGED** — it is a re-drafting, not a policy change

FINANCE COMMISSION Article 280, appointed by the **President**, every five years · recommendations are **ADVISORY** · **16th: Arvind Panagariya, award 2026–31, share 41% (unchanged)**, ends revenue deficit grants, adds a **GDP-contribution criterion** · **14th = 42%, 15th = 41%, 16th = 41% — 42% is the superseded figure**

GST COUNCIL 279A · chaired by the **Union Finance Minister** · **three-fourths of weighted votes** · **Centre one-third, States two-thirds** » **a mutual veto: neither side can act alone** · quorum one-half

FRBM Act 2003, effective 2004 · three statements with the Budget · **escape clause** for security, calamity, structural reform, output collapse · **N K Singh Committee (2017)** proposed a **debt-to-GDP anchor**

THREE BODIES, THREE JOBS NITI Aayog advises on policy and allocates nothing · the Finance Commission does devolution · the GST Council sets indirect tax rates

8. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F4.3

112 BUDGET · 110 MONEY BILL DEFINED · 114 APPROPRIATION · 266 FUNDS · 267 CONTINGENCY · 279A GST COUNCIL · 280 FINANCE COMMISSION

PROVIDENT FUNDS SIT IN THE PUBLIC ACCOUNT — HELD IN TRUST, NO APPROPRIATION NEEDED

CONTINGENCY FUND: SPEND FIRST, PARLIAMENT AUTHORISES AFTER

FISCAL DEFICIT = TOTAL EXPENDITURE - TOTAL RECEIPTS *EXCLUDING BORROWINGS*

= THE YEAR'S TOTAL BORROWING REQUIREMENT

PRIMARY = FISCAL - INTEREST. PRIMARY IS ALWAYS THE SMALLER

CAPITAL RECEIPT = CREATES A LIABILITY OR REDUCES AN ASSET

FD 4.3% FOR 2026-27 · 4.4% FOR 2025-26 [AS AT 16 AUG 2026]

GST: TWO SLABS NOW — 5% AND 18%, PLUS 40% DE-MERIT. 12 AND 28 ARE GONE

GST: 101st AMENDMENT 2016, LIVE 1 JULY 2017

LIQUOR IS OUT OF GST BY THE CONSTITUTION. PETROL IS OUT BY NON-NOTIFICATION

INCOME-TAX ACT 2025, LIVE 1 APRIL 2026. RATES UNCHANGED

16th FC: PANAGARIYA · 2026–31 · 41% · 42% IS THE OLD ANSWER

FINANCE COMMISSION IS ADVISORY

GST COUNCIL: ¾ OF WEIGHTED VOTES · CENTRE ⅓ · STATES ⅔ · MUTUAL VETO

CESS IS EARMARKED · SURCHARGE IS NOT · NEITHER IS SHARED WITH STATES

FRBM 2003 · N K SINGH PROPOSED A DEBT ANCHOR

NITI ADVISES · FINANCE COMMISSION DEVOLVES · GST COUNCIL RATES

WHERE TWO OPTIONS ARE THE SAME SENTENCE AT DIFFERENT LENGTHS, THE LONGER IS USUALLY RIGHT

ONE LINE FOR THE INTERVIEW The fiscal deficit matters more than the other deficit measures because it equals the government's total borrowing requirement, and therefore determines how much of the economy's savings the State pre-empts — which is why the consolidation path is judged alongside whether capital expenditure was protected while it happened.

ACTION · NEXT

F4.4 — Poverty, Unemployment and Human Development. It carries the measurement questions — the poverty lines, the four unemployment concepts, HDI and the Multidimensional Poverty Index — and the definitions are more examinable than the numbers.